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Asia Power Equipment

Addressing investors' key questions - What to do post the 20-30% decline during 2Q?

Chinese and Korean power equipment companies have pulled back by more than 20-30% from their April peaks, and in this note we address key investor questions. We believe the pullback reflects concerns over data center connection delays, geopolitical tensions, and a lack of immediate catalysts following record-high 1Q new orders. While we cautioned against elevated valuations in our previous [note](#), we are more comfortable with current valuations after the 20-30% decline from the peak (Figure 2). We see good value in Hyosung Heavy, as the stock trades at ~20x 2028E P/E — the cheapest among Korean electricals (Figure 1) — and should be least impacted by any data center connection issues, if they materialize, as it derives more than 90% of new orders from utilities and grids in the U.S., where capex growth remains structural. For the Chinese names, fund flows into the AI sector and rising concerns over geopolitical tensions have also weighed on share performance. Our base case is that the E.U. is unlikely to impose trade tariffs on Chinese power equipment, as Chinese players' market share in the EU remains small at less than 10%, making it unlikely to threaten the market share of domestic players such as Siemens Energy. The pullback presents an attractive entry point for quality players such as Wasion Holdings (3393 HK), which trades at ~10x 1-year forward P/E with more than 20% earnings growth p.a.

- Concerns about data center capacity growth have dragged down share performance in 2Q:** A number of power equipment companies have pulled back recently (Figure 3) following the release of 1Q results. While we are not aware of any fundamental changes, we believe investors are increasingly concerned about slower-than-expected data center capacity growth next year, driven by potential delays in permitting, power constraints and other issues. This may lead to slower-than-expected new order growth, especially for behind-the-meter generation equipment.
- Why did the Korean names pull back by ~25% in a month despite a strong beat in 1Q new orders?** This compares with a flat KOSPI over the same period. We believe the pullback reflects several factors: (1) Valuation: Hyundai Electric and Hyosung Heavy traded at ~35x 1-year forward P/E at their valuation peaks, representing a premium to some global peers. (2) Short interest and funding dynamics: We have seen rising short interest in the sector locally, especially in Hyundai Electric and LS Electric. We sense that some hedge fund investors may have positioned power equipment companies as a short to fund long positions in memory names, as the two sectors have somewhat traded in tandem with U.S. tech stocks. (3) Lack of high-frequency catalysts: There is limited forward-looking and high-frequency data between quarterly results for power equipment companies. Some investors are concerned that order growth may slow from 2Q, given the high sequential base in 1Q, when new orders doubled for some names.
- Rising concerns about geopolitical tensions have also weighed on sentiment for Chinese names:** We have seen rising concerns from local investors regarding new order growth in the E.U. for Chinese power equipment players. This follows the European Commission's measures on the auto sector

Power Equipment and Utilities

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and inverters ([note](#)). Overall, we believe the risk of the EU imposing trade tariffs on Chinese electrical equipment is low. This is because the market share of Chinese products remains below 10% in our estimates, and China mainly exports primary electrical equipment to the EU, with less exposure to software and systems. As a result, we believe the impact of rising Chinese product sales on EU electrical equipment companies is muted. As demand for electrical equipment rises amid the region's energy transition commitments, we believe EU countries will continue to procure Chinese products given limited domestic capacity.

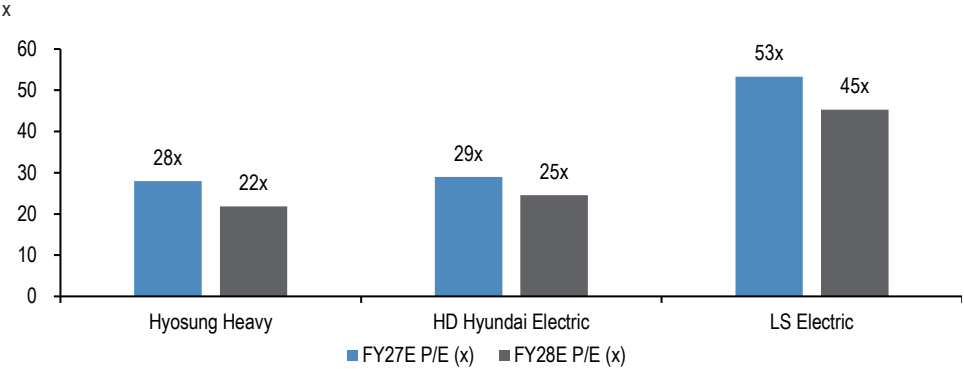
- **How would delays in data center connections affect new order wins?** Among our coverage, we believe Korean power equipment companies focused on heavy electricals, such as Hyundai Electric and Hyosung Heavy, would be least impacted by data center connection issues. This is because data centers account for less than 10% of new orders, while the bulk of orders come from utilities and grid customers, which are independent of data center connection issues. We believe order growth for both companies should remain intact, as transmission capex in the U.S. should continue to see structural growth.

Table 1: Asia Power Equipment Valuation Comps

	Ticker	JPM rating	Share price (LC)	Mkt Cap (USDm)	Daily liquidity (USDm)	PE (x)		P/BV (x)		Dividend yield (%)		ROE (%)		EV/EBITDA (x)	
						2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Hitachi	6501 JP	OW	4,655.0	131,529	433.1	22.6	19.9	3.3	3.0	1.0	1.0	14.5	15.2	11.4	10.5
Mainland China															
Nari Technology	600406 CH	OW	22.9	27,076	380.3	19.0	16.7	3.3	3.0	3.2	3.6	13.9	13.8	14.4	12.9
Qingdao TGood	300001 CH	OW	36.3	5,654	183.4	24.7	20.9	3.9	3.4	0.7	0.8	16.8	17.4	16.6	14.6
Xuji Electric	000400 CH	OW	21.6	3,248	124.3	13.8	12.0	1.5	1.4	2.8	3.1	12.8	13.4	8.3	7.4
Wasion Holdings	3393 HK	OW	19.9	2,653	27.8	13.6	11.3	2.6	2.3	3.3	4.0	19.8	21.3	8.7	7.3
Gold Cup Electric	002533 CH	NC	10.8	1,174	33.5	11.1	9.8	1.7	1.5	4.9	5.6	15.0	15.8	12.4	11.0
Hexing Electrical	603556 CH	NC	23.6	1,690	25.0	10.3	8.8	1.4	1.3	4.3	5.6	12.8	14.1	8.0	6.4
Liangxin Electric	002706 CH	NC	11.5	1,904	119.6	36.7	27.6	2.9	2.8	1.8	2.3	7.6	10.1	18.9	15.8
Eaglerise Electric	002922 CH	NC	34.1	2,126	147.4	28.3	19.7	3.5	3.2	1.8	2.6	12.1	16.4	18.5	13.8
Pinggao Electric	600312 CH	NC	18.2	3,633	91.4	17.4	14.5	2.0	1.8	1.8	2.0	11.6	12.7	10.5	8.9
Sifang Automation	601126 CH	NC	67.1	8,244	271.1	56.8	48.6	10.3	9.5	1.2	1.3	18.7	20.0	44.9	38.0
China XD	601179 CH	NC	13.5	10,179	551.8	42.9	35.0	2.8	2.7	0.7	0.8	6.5	7.5	23.5	20.3
Shemar Electric	603530 CH	NC	51.1	3,254	50.0	36.4	27.3	9.9	7.9	1.0	1.3	28.8	30.7	24.5	19.4
Sanxing	601567 CH	NC	14.0	2,894	89.7	8.7	7.3	1.5	1.3	6.2	7.8	15.9	18.2	6.7	5.4
India															
ABB India	ABB IN	N	6,719.0	14,868	34.6	80.1	63.6	16.4	14.3	0.6	0.7	21.5	24.0	66.2	51.0
Bharat Heavy	BHEL IN	UW	370.7	13,478	64.7	37.3	24.4	4.5	3.9	0.8	1.0	12.5	17.1	26.2	16.9
CG Power	CGPOWER IN	OW	901.4	14,824	35.2	87.1	67.5	15.2	12.6	0.2	0.2	18.3	20.0	64.9	49.5
Hitachi Energy India	POWERIND IN	OW	33,250.0	15,476	58.7	100.5	70.1	22.5	17.2	0.0	0.1	25.1	27.8	76.2	51.4
Power Grid	PWGR IN	OW	286.7	27,840	46.3	15.9	14.5	2.5	2.3	3.3	3.6	15.4	15.4	10.7	10.2
Siemens India	SIEM IN	UW	3,522.0	13,098	20.7	45.6	60.9	9.1	8.1	0.3	0.3	17.4	14.0	42.5	46.5
Transformers & Rectifiers India	TARIL IN	NC	300.5	942	14.8	28.4	22.3	4.9	4.0	0.1	0.2	17.4	18.3	18.2	14.3
Voltamp Transformers	VAMP IN	NC	9,531.5	1,007	7.9	28.6	24.5	4.8	4.2	1.1	1.3	17.7	18.2	24.3	20.7
GEV T&D	GVTD IN	OW	4,735.0	12,661	40.1	77.9	58.9	31.0	22.0	0.3	0.4	47.1	43.7	58.0	43.6
Siemens Energy India	ENRIN IN	N	3,412.5	12,691	20.8	63.4	52.5	16.2	12.7	0.1	0.2	29.0	27.1	46.1	37.6
Japan															
Mitsubishi Heavy	7011 JP	NC	3,494.0	73,429	673.7	28.7	24.1	3.6	3.2	0.9	1.0	13.0	14.1	15.4	13.4
Mitsubishi Electric	6503 JP	OW	5,446.0	71,695	248.0	23.2	20.6	2.6	2.5	1.1	1.2	11.3	11.9	13.4	12.3
Fuji Electric	6504 JP	NC	13,305.0	12,374	89.7	18.9	17.4	2.3	2.1	1.6	1.8	12.6	12.7	10.0	9.3
Korea															
LS Electric	010120 KS	N	232,500	22,788	352.7	71.6	53.6	14.1	11.7	0.4	0.6	21.4	23.9	42.1	32.2
HD Hyundai Electric	267260 KS	OW	1,033,000	24,332	169.7	37.2	28.9	13.9	10.6	0.9	1.2	42.4	41.5	26.7	20.6
Hyosung Heavy Industries	298040 KS	OW	3,307,000	20,149	182.5	39.2	27.9	10.0	7.6	0.3	0.5	29.0	30.9	27.5	20.1
Sanil Electric	062040 KS	NC	218,500	4,371	148.1	31.8	25.5	8.8	6.8	0.6	0.8	31.9	31.4	24.8	19.9
Ijin Electric	103590 KS	NC	79,900	2,490	74.8	24.3	20.4	5.3	4.4	0.8	0.9	23.9	23.4	16.3	14.1
Taiwan															
Shilin Electric	1503 TT	NC	215.0	3,542	27.5	24.6	15.7	2.9	n.a.	n.a.	n.a.	12.9	16.7	18.1	11.7
Chung-Hsin Electric	1513 TT	NC	164.0	2,609	48.9	18.5	15.6	3.7	4.3	3.9	4.5	20.4	22.6	9.1	8.1
Allis Electric	1514 TT	NC	118.0	1,019	20.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Fortune Electric	1519 TT	NC	773.0	7,721	101.5	37.4	28.1	16.7	12.4	1.9	2.5	53.3	53.4	28.7	21.4

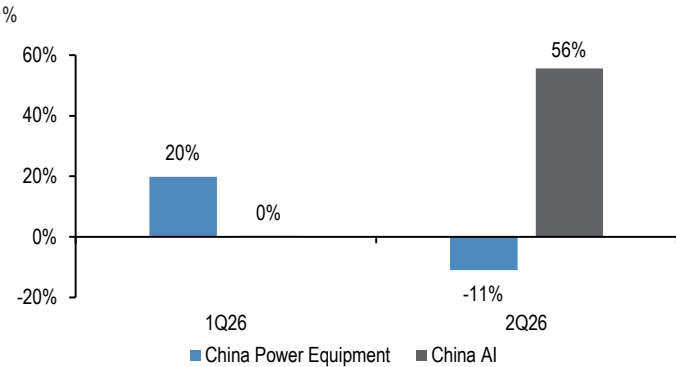
Source: Bloomberg Finance L.P., J.P. Morgan estimates (consensus estimates for non-covered companies). Priced as of 11 Jun 2026.

Figure 1: Korea Power Equipment Companies' Valuation



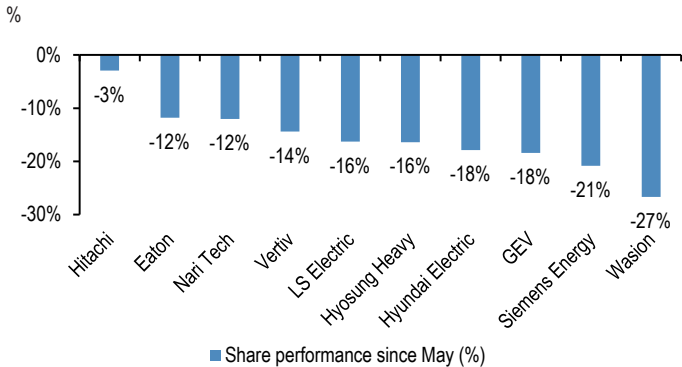
Source: Bloomberg Finance L.P., J.P. Morgan estimates. Priced as of 11 Jun 2026.

Figure 2: Fund Rotations from China Power Equipment into China AI Themed Stocks



Source: Bloomberg Finance L.P., J.P. Morgan. Priced as of 11 Jun 2026.

Figure 3: Share Price Weaknesses Across Global Power Equipment Companies Since May



Source: Bloomberg Finance L.P., J.P. Morgan. Priced as of 11 Jun 2026.

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HD Hyundai Electric (267260.KS, 267260 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
17-Sep-24	OW	283500	370,000
25-Oct-24	OW	342000	385,000
03-Dec-24	OW	335000	390,000
14-Jan-25	OW	389000	440,000
08-Apr-25	OW	265000	365,000
05-Jun-25	OW	382000	430,000
07-Jul-25	OW	432000	510,000
02-Sep-25	OW	487000	550,000
01-Oct-25	OW	582000	650,000
23-Oct-25	OW	687000	815,000
18-Nov-25	OW	840000	1,050,000
08-Apr-26	OW	888000	1,100,000
28-Apr-26	OW	1329000	1,315,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 17, 2024. All share prices are as of market close on the previous business day.

Hyosung Heavy Industries (298040.KS, 298040 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
17-Sep-24	OW	289500	385,000
31-Oct-24	OW	405000	450,000
03-Dec-24	OW	386000	460,000
14-Jan-25	OW	421500	500,000
08-Apr-25	OW	393500	475,000
05-Jun-25	OW	648000	700,000
07-Jul-25	OW	889000	970,000
27-Jul-25	OW	1125000	1,350,000
05-Sep-25	OW	1209000	1,450,000
01-Oct-25	OW	1340000	1,500,000
31-Oct-25	OW	2125000	2,500,000
18-Nov-25	OW	2160000	2,800,000
30-Jan-26	OW	2535000	3,000,000
08-Apr-26	OW	2603000	3,300,000
24-Apr-26	OW	3260000	3,900,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 17, 2024. All share prices are as of market close on the previous business day.

Wasion Holdings Ltd - H (3393.HK, 3393 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
26-Feb-26	OW	27.24	35

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Break in coverage Aug 07, 2018 - Feb 26, 2026.

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